

Our risk-taking ability & willingness may not be the same. In most cases, one is more than others. This is what we do in such situations.

ABILITY < WILLINGNESS

We want to take more risks but our circumstances do not allow us to do so. In this case, we will always follow the lower of the two– our ability to take risks and take fewer risks. Why? We have responsibilities and goals to meet. We will follow the lower risk profile until our circumstances improve.

ABILITY > WILLINGNESS

In such circumstances, we will be allowed to take high risks. Contradictorily, we generally prefer lower risks as we are only comfortable with such investments. We will spend time understanding the higher risk asset classes and start by trying them with small amounts. If even after all this, we are not comfortable with higher risk assets, we will stick to lower risks that we are willing to take. This is because when we are following a financial plan, it has to be followed for years and if we are not comfortable with an asset class that we are invested in and if anything goes downhill, it will just add to our discomfort and the entire lazy financial canvas will not work.

The bottom line is, whenever our ability and willingness are different, always follow the lower of the two. Now we know the optimum risk level that we can take. The risk profile will help us choose assets in the planning stage. With this, we conclude the evaluation of risk.

